

Notes: Engelberg, Guzman, Lu, and Mullins (JF, 2026)

Partisan Entrepreneurship

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1 Big picture

- **Question.** Does political identity affect the decision to start a firm, and do party-changing elections reallocate entrepreneurship across Democrats and Republicans?
- **Core setting.** The paper links business-registration data from the Startup Cartography Project to party-identified voter-file data from L2. The main individual sample covers about 40 million Americans from 2005 to 2017 in 33 states with complete firm-registration data.
- **Partisan entrepreneurship gap.** Republicans start firms more often than Democrats. Over the sample, 5.5% of Republicans become entrepreneurs versus 3.7% of Democrats.
- **Conditional gap.** Even after controlling for age, gender, race, education, income, and county-by-year fixed effects, Republicans are about 26% more likely than Democrats to start a business in a given year, relative to the mean.
- **Time-varying partisan response.** Republicans increase relative entrepreneurship during Republican administrations and decrease it during Democratic administrations. Democrats respond in the opposite direction.
- **Event-study evidence.** Around Obama’s 2008 election, Republicans reduce relative startup activity; around Trump’s 2016 election, Republicans increase it. The estimates are sharp around election timing and show limited pre-trends.
- **Full-sample mismatch effect.** Individuals whose party is not in power are 3.3% of the annual startup-rate mean less likely to start a firm than otherwise similar individuals whose party controls the presidency.
- **Economic magnitude.** The full-sample mismatch effect implies around 13,000 fewer new firms per year by politically mismatched individuals, or around 170,000 new firms reallocated across parties over the 13-year sample.
- **Political engagement.** The effect is stronger among politically active individuals: voters with high voting propensity and, especially, party donors.
- **Firm type and quality.** Corporations and high-quality startups respond more strongly than LLCs and lower-quality firms. This suggests the effect is not confined to marginal or low-ambition firm formation.
- **County evidence.** County-level startup rates and Census BDS outcomes show analogous partisan patterns. Mismatched counties see fewer new firms, more establishment exits, more firm deaths, and lower net job creation among existing firms.
- **Expectations mechanism.** Survey data show that business owners’ expectations move along partisan lines, and the effects are stronger for men and for counties more correlated with the national economy.
- **Takeaway.** Political identity affects entrepreneurial investment. Elections can reallocate new firm creation and business expansion across partisan groups and places even without clear evidence that true returns change.

2 Data and measurement

2.1 Business registrations and entrepreneurs

- The entrepreneurship data come from the Startup Cartography Project, which assembles state-level business registrations.
- The main individual-level analysis uses 33 states with complete firm-registration data from 2005 to 2017.
- The data identify firm founders from registration records, including names, addresses, dates, legal form, and, for many firms, information used to predict growth orientation.

- The paper focuses on whether an individual starts at least one business in a given year.
- Founders are matched to the L2 voter file by name and geography. To reduce false matches, the main analysis uses a unique-name restriction.

Interpretation: The registration data provide a broad measure of entrepreneurship that includes private firms and small businesses, not only venture-backed firms or public-company founders. The voter-file match makes it possible to study founders' political identity.

2.2 Political party identification

- Party identification comes from L2 voter data.
- Some states directly provide party registration. In other states, L2 infers party from primary participation and commercial/demographic data.
- The main comparisons are Democrats versus Republicans because these groups have clear directional sentiment around presidential regime changes.
- Independents are used in auxiliary analyses to separate whether changes come from Democrats or Republicans.
- Party switching is rare: the paper reports that the probability of changing from Republican to Democrat or vice versa is about 1.8%.

Interpretation: The key treatment variable is not ideology in the abstract but whether an individual's party matches the party controlling the presidency or governor's office.

2.3 Individual characteristics and political activeness

- Individual controls include gender, race/ethnicity, age bins, education, and household income where available.
- The paper also constructs political-activeness measures.
- One measure is voting propensity, based on the share of eligible elections in which an individual voted.
- Another measure is whether an individual appears in Federal Election Commission records as donating to a political party.
- These measures allow the paper to ask whether the entrepreneurship response is larger for individuals who are more politically engaged.

Interpretation: If partisan beliefs drive behavior, the response should be larger among people for whom politics is more salient. The results strongly support this prediction.

2.4 Firm type, growth quality, and legal form

- The paper distinguishes corporations from limited liability companies (LLCs) and other legal forms.
- Corporations are better suited to outside investment, are more likely to be employer firms, and are less likely to be used merely as pass-through entities.
- Startup quality is measured using the Guzman-Stern framework, which predicts growth potential from registration characteristics.
- Firms are divided by quality quintiles and top-percentile groups.

Interpretation: These measures help determine whether partisan responses are economically meaningful. The stronger effects for corporations and high-quality firms suggest that regime changes affect consequential entrepreneurial investment, not just hobby businesses.

2.5 County-level data

- County-level startup rates come from the Startup Cartography Project and cover 45 states in the county event studies.
- Counties are classified as Democratic-leaning or Republican-leaning based on the previous presidential vote share.
- BLS Quarterly Census of Employment and Wages data provide establishment and employment data by county and industry.
- Census Business Dynamics Statistics data allow the paper to separate new firm entry, establishment entry/exit, firm death, and net job creation by firm age.

Interpretation: County data avoid the individual matching problem and allow analysis of local economic consequences, but they sacrifice within-county identification of Democrat versus Republican individuals.

2.6 Expectations and performance data

- Bloomberg Consumer Comfort Index data measure national partisan optimism.
- Gallup U.S. Daily Survey data measure expectations among business owners and nonowners, and by gender.
- Reference USA provides private-firm sales and employment data used to study pre-election firms.
- Experian income data, matched through L2, provide individual income data for founder-level robustness.

Interpretation: These data help distinguish two mechanisms: rational changes in true returns versus partisan swings in economic expectations.

3 Models and empirical specifications

3.1 Descriptive entrepreneurship regression

Before the regime-change analysis, the paper estimates individual-level startup probability as a function of political party and controls:

$$Y_{i,t} = \alpha_{c(i),t} + \beta_D Dem_i + \beta_R Rep_i + X'_i \gamma + \varepsilon_{i,t}, \quad (1)$$

where $Y_{i,t}$ equals one if individual i starts a firm in year t , and $\alpha_{c(i),t}$ are county-by-year fixed effects.

Interpretation: This regression documents the baseline partisan entrepreneurship gap after comparing individuals in the same county-year and controlling for demographics.

3.2 Individual-level election event study

The main event-study specification around party-changing presidential elections is

$$Y_{i,t} = \sum_{q=-8}^7 \beta_q Dem_i \times 1\{EventQuarter_t = q\} + X'_{i,t} \gamma + \alpha_{c(i),t} + \varepsilon_{i,t}. \quad (2)$$

- $Y_{i,t}$ is the de-seasonalized excess likelihood that individual i starts a business in event quarter t .
- Dem_i equals one for Democrats and zero for Republicans.
- Event quarter 0 is the election month plus the next two months.
- Event quarter -2 is omitted.
- $\alpha_{c(i),t}$ are county-by-event-quarter fixed effects.
- Controls include gender, race, and age-group bins.

Interpretation: The coefficients β_q compare Democrats and Republicans with similar characteristics in the same county at the same time. Post-election changes capture partisan reallocation around presidential regime shifts.

3.3 Full-sample presidential mismatch regression

Using all years from 2005 to 2017, the paper estimates

$$Y_{i,t} = \beta \text{Mismatch}_{i,t} + \gamma_D \text{Dem}_i + X_i' \gamma + \alpha_{c(i),t} + \varepsilon_{i,t}. \quad (3)$$

- $\text{Mismatch}_{i,t} = 1$ if individual i 's party differs from the party of the sitting president.
- It equals one for Republicans during 2009–2016 and for Democrats during 2005–2008 and 2017.
- $\alpha_{c(i),t}$ are county-by-year fixed effects.
- Standard errors are clustered by county.

Interpretation: The coefficient β measures how much less likely a politically mismatched person is to start a business compared with a matched person in the same county-year.

3.4 Political activeness interaction

To test salience, the paper estimates variants of

$$Y_{i,t} = \beta_1 \text{Mismatch}_{i,t} + \beta_2 \text{Mismatch}_{i,t} \times \text{Active}_i + \beta_3 \text{Active}_i + X_i' \gamma + \alpha_{c(i),t} + \varepsilon_{i,t}. \quad (4)$$

Interpretation: If partisan expectations matter, β_2 should be negative: active partisans should respond more strongly to mismatch.

3.5 Governor mismatch and dual mismatch

The paper extends the full-sample model by including presidential mismatch, governor mismatch, and their interaction or joint categories.

$$Y_{i,t} = \beta_P \text{PresMismatch}_{i,t} + \beta_G \text{GovMismatch}_{i,t} + X_i' \gamma + \alpha_{c(i),t} + \varepsilon_{i,t}. \quad (5)$$

Interpretation: This tests whether the effects are only national, only local, or additive. The paper finds that governor mismatch matters and is additive with presidential mismatch.

3.6 County-level event study

For county-level startup rates, the paper estimates

$$Y_{c,t} = \sum_{q=-8}^7 \beta_q DemCounty_c \times 1\{EventQuarter_t = q\} + X'_{c,t}\gamma + \alpha_c + \alpha_t + \varepsilon_{c,t}. \quad (6)$$

- $Y_{c,t}$ is the excess startup rate in county c at event time t .
- $DemCounty_c$ equals one for counties whose Democratic vote share is above the sample median in the preceding presidential election.
- Controls include unemployment, income per capita, and NAICS-2 employment shares.

Interpretation: This specification asks whether Democratic counties rise relative to Republican counties when Democrats take power, and fall when Republicans take power.

3.7 County BDS mismatch regression

Using Census Business Dynamics Statistics, the paper estimates

$$Y_{c,t} = \beta Mismatch_{c,t} + X'_{c,t}\gamma + \alpha_c + \alpha_t + \varepsilon_{c,t}, \quad (7)$$

where $Y_{c,t}$ includes new firm entry, job creation, establishment entry, establishment exit, firm death, and net job creation.

Interpretation: This specification moves beyond new startups and asks whether political mismatch affects existing-firm dynamics and local employment.

3.8 Expectations and return-to-entrepreneurship tests

The paper studies whether partisan entrepreneurs are responding to true returns or biased expectations.

- Reference USA tests compare performance of pre-election Democratic-founded versus Republican-founded firms after party-changing elections.
- Gallup tests compare partisan economic expectations among business owners, nonowners, men, and women.
- County heterogeneity tests sort counties by correlation with national GDP growth.

Interpretation: If true returns changed by party, pre-election firms of the winning party should become more productive. The evidence instead points to investment and hiring responses without clear productivity or income differences.

4 Identification and empirical design

4.1 Main identifying variation

- Party-changing presidential elections generate sharp changes in partisan expectations.
- The individual event studies compare Democrats and Republicans within the same county-time cell.
- The full-sample specification compares matched versus mismatched partisans while absorbing county-year shocks.
- County analyses use county partisan composition interacted with election timing.

Interpretation: The strongest identification comes from within-county comparisons of Republicans and Democrats at the same time, which absorb local economic shocks common to both groups.

4.2 Parallel trends and timing

- Event-study figures show limited differential pre-trends before the 2008 and 2016 party-changing elections.
- Startup responses occur quickly: within the election quarter or soon after.
- Robustness checks adjust for seasonality and use annual rather than quarterly event-time measures.

Interpretation: The sharp timing around elections supports the interpretation that partisan regime changes, rather than slow-moving local trends, drive the effects.

4.3 Name matching and sample selection

- Matching founders to voters creates potential false matches and sample-selection concerns.
- The main analysis uses a unique-name restriction to reduce false matches.
- County-level tests do not require individual founder-voter matching and broadly confirm the findings.
- Reweighting exercises compare the named regression sample to the voter population.

Interpretation: The combination of individual and county-level analyses is important because each data set has different strengths and weaknesses.

4.4 Distinguishing expectations from policy effects

- Policy changes could disproportionately affect Democrats or Republicans by geography or industry.
- The paper adds increasingly fine geography-by-year fixed effects, including zip code, census tract, and block-group-by-year effects.
- It also examines industries with different policy sensitivity and counties with different sensitivity to national GDP.
- The mismatch effect remains under fine geography-time controls.

Interpretation: The evidence favors an expectations channel because effects remain even when comparing Democrats and Republicans in very local areas subject to similar policies.

4.5 Limits of the design

- Party affiliation is not randomly assigned.
- Individual beliefs are not observed for all entrepreneurs.
- Firm-registration data capture business formation but not all dimensions of business quality or survival.
- County-level designs may confound individual partisanship with local demand shocks.
- The paper cannot fully separate optimism, perceived policy, and perceived local-demand channels.

Interpretation: The paper is most convincing as a multi-design evidence package: individual panel evidence, county evidence, firm-type heterogeneity, and survey expectations all point in the same direction.

5 Tables and figures

5.1 Table I and Table II: sample, party differences, and baseline characteristics

Read:

- Table I shows that Republicans have higher entrepreneurship rates than Democrats.
- In the full sample, 5.5% of Republicans ever start a firm versus 3.7% of Democrats.
- Annual startup probabilities are also higher for Republicans than Democrats.
- Table II moves beyond raw means and controls for demographics and county-year fixed effects.
- Democrats are less likely and Republicans are more likely than Independents to start firms; the Republican-Democrat spread remains large after controls.

Economic message: The partisan entrepreneurship gap is not only a raw compositional fact. It persists after controlling for observable characteristics and local-time conditions.

Table I
Pr(start a business), Pr(ever a founder), and Summary Statistics

This table reports summary statistics (sample described in Section 1) and two probabilities by population subset. *P(start business in a year)* is the annual probability of starting a business among individuals aged 18 to 70 in our sample. *P(ever a founder)* is the probability of having started at least one business between 2005 and 2017 for the same sample. Units are in percentage points. Columns (1) to (3), (4) to (6), and (7) to (9) are calculated for samples of all individuals, Democrats, and Republicans, respectively (see Section 1.B for partisanship definition). %Sample refers to the proportion of observations with a certain characteristic in the corresponding sample. *Female* is an indicator for being female; *Educ. > College* (*Educ. others*) is an indicator for having a college degree or higher (no college degree); *Low income*, *Middle income*, and *High income* are indicators for annual household incomes of \$1,000 to \$49,999, \$50,000 to \$99,999, and \$100,000 or above, respectively; *Age xx-yy* is an indicator for being between xx and yy years old in a year and *Cohort 19xx-yy* is an indicator for being born between 19xx and 19yy.

	Full sample			Democrat			Republican		
	Probability (pp)			Probability (pp)			Probability (pp)		
	Mean	SD	%Sample	Mean	SD	%Sample	Mean	SD	%Sample
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)
<i>P(start business in a year):</i>									
All	0.50	1.48	100.00	0.39	1.32	100.00	0.61	1.65	100.00
Male	0.75	1.90	41.29	0.60	1.78	36.14	0.90	2.03	44.60
Female	0.32	1.07	58.71	0.27	0.95	63.86	0.38	1.20	55.40
Educ. > College	0.69	1.64	47.13	0.55	1.51	45.60	0.78	1.70	49.79
Educ. others	0.41	1.34	52.87	0.32	1.19	54.40	0.49	1.46	50.21
White	0.47	1.18	75.69	0.37	1.10	62.17	0.58	1.26	90.92
Black	0.35	1.36	11.13	0.34	1.08	20.04	0.48	3.43	1.52
Hispanic	0.45	1.80	9.42	0.34	1.36	14.04	0.73	2.64	5.11
Asian	0.90	3.06	3.76	0.72	2.71	3.75	1.00	3.74	2.45
Low income	0.24	1.27	21.29	0.21	1.06	25.74	0.30	1.53	17.29
Middle income	0.39	1.22	42.80	0.33	1.11	42.36	0.47	1.33	42.83
High income	0.77	1.62	35.91	0.63	1.52	31.90	0.89	1.72	39.88
Age 18-29	0.25	1.09	18.29	0.20	0.95	18.36	0.35	1.47	11.86
Age 30-39	0.65	1.77	18.30	0.53	1.60	17.49	0.81	2.09	15.33
Age 40-49	0.66	1.67	21.69	0.54	1.53	20.45	0.77	1.78	23.41

(Continued)

Table I, Panel A

Table I—Continued

	Full sample			Democrat			Republican		
	Probability (pp)			Probability (pp)			Probability (pp)		
	Mean	SD	%Sample	Mean	SD	%Sample	Mean	SD	%Sample
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)
0.53	1.46	23.15	0.42	1.30	23.67	0.64	1.55	26.62	
0.34	1.24	18.57	0.27	1.10	20.03	0.41	1.29	22.79	
	477,728,978			173,281,910			153,846,085		
	33			33			33		
4.59	20.92	100.00	3.69	18.85	100.00	5.53	22.86	100.00	
6.57	24.78	41.32	5.39	22.59	36.15	7.72	26.69	44.62	
3.19	17.57	58.68	2.72	16.28	63.85	3.77	19.04	55.38	
6.22	24.16	46.76	5.11	22.03	45.26	6.91	25.37	49.42	
3.94	19.46	53.24	3.14	17.45	54.74	4.66	21.07	50.58	
4.44	20.60	75.81	3.51	18.41	62.46	5.29	22.38	91.00	
3.38	18.08	11.07	3.30	17.86	19.82	4.41	20.54	1.50	
4.10	19.82	9.40	3.17	17.52	13.99	6.28	24.26	5.08	
7.72	26.70	3.72	6.31	24.32	3.73	8.29	27.57	2.41	
2.25	14.83	22.76	1.93	13.76	27.23	2.69	16.18	19.28	
3.87	19.29	42.32	3.27	17.79	41.74	4.59	20.93	42.19	
7.01	25.54	34.92	5.85	23.46	31.02	7.97	27.08	38.53	
1.19	10.82	7.88	0.95	9.72	7.44	1.54	12.31	4.79	
3.93	19.44	15.26	3.16	17.50	15.45	5.08	21.96	10.06	
6.53	24.71	17.09	5.44	22.67	16.17	7.81	26.84	14.98	
6.30	24.30	20.53	5.15	22.10	19.22	7.34	26.07	22.94	
4.95	21.70	20.97	3.98	19.56	22.05	5.96	23.68	23.90	
2.43	15.40	18.27	1.95	13.82	19.67	2.86	16.68	23.32	
	40,420,508			14,696,895			13,083,051		
	33			33			33		

Table I, continuation

Table II
Probability of Starting a Business by Individual Characteristics

This table relates individuals' annual probability of starting a business to their personal characteristics. The sample is composed of Democrats, Republicans, and Independents, and the outcome is an indicator for starting a business in a year. Units are in percentage points. *Dem* is equal to one for Democrats and zero for others; *Rep* is defined analogously (see Section 1.B). Apart from the reported coefficients, columns (4) to (7) also include indicators for missing race and/or missing income and the interactions between these indicators and *Dem* and *Rep*. Regressions are run at the county-party-characteristic-year cell level and are weighted by the number of observations in each cell. Standard errors are clustered by county. ***, **, and * indicate significant at the 1%, 5%, and 10% level, respectively.

	Party (1)	+Age (2)	+Male (3)	+Race (4)	+Educ. (5)	+Income (6)	Party × Male (7)
Dem	-0.0815*** (0.0093)	-0.0771*** (0.0089)	-0.0421*** (0.0076)	-0.0161*** (0.0055)	-0.0242*** (0.0057)	-0.0220*** (0.0054)	0.0027 (0.0064)
Rep	0.1621*** (0.0061)	0.1539*** (0.0059)	0.1529*** (0.0058)	0.1460*** (0.0054)	0.1258*** (0.0052)	0.1087*** (0.0050)	0.0550*** (0.0045)
Age 18–29		-0.0605*** (0.0061)	-0.0609*** (0.0061)	-0.0449*** (0.0055)	-0.0018 (0.0059)	-0.0452*** (0.0056)	-0.0469*** (0.0056)
Age 30–39		0.3226*** (0.0141)	0.3302*** (0.0145)	0.3419*** (0.0153)	0.3611*** (0.0166)	0.3009*** (0.0143)	0.2999*** (0.0143)
Age 40–49		0.3296*** (0.0137)	0.3343*** (0.0140)	0.3415*** (0.0145)	0.3493*** (0.0150)	0.2954*** (0.0128)	0.2949*** (0.0128)
Age 50–59		0.2937*** (0.0082)	0.2944*** (0.0083)	0.2978*** (0.0085)	0.2985*** (0.0086)	0.1776*** (0.0074)	0.1773*** (0.0074)
Male			0.4330*** (0.0208)	0.4278*** (0.0202)	0.4256*** (0.0200)	0.4193*** (0.0198)	0.4048*** (0.0198)
Black				-0.0593* (0.0353)	-0.0619* (0.0349)	-0.0948*** (0.0337)	-0.0919*** (0.0338)
Hispanic				0.1508*** (0.0203)	0.1221*** (0.0192)	0.0582*** (0.0178)	0.0615*** (0.0178)
Asian				0.4442*** (0.0282)	0.3984*** (0.0268)	0.3213*** (0.0250)	0.3260*** (0.0250)
College+					0.1939*** (0.0106)	0.1438*** (0.0082)	0.1432*** (0.0082)

(Continued)

Table II

Table II—Continued

arty (1)	+Age (2)	+Male (3)	+Race (4)	+Educ. (5)	+Income (6)	Party × Male (7)
					0.0847*** (0.0042)	0.0853*** (0.0042)
					0.3504*** (0.0163)	0.3510*** (0.0163)
						-0.0718*** (0.0084)
						0.1191*** (0.0103)
070	0.082	0.102	0.106	0.111	0.118	0.119
496	0.496	0.496	0.496	0.496	0.496	0.496
728,978	477,728,978	477,728,978	477,728,978	477,728,978	477,728,978	477,728,978
123	2,123	2,123	2,123	2,123	2,123	2,123
Y	Y	Y	Y	Y	Y	Y

Table II, continuation

5.2 Figure 1: partisan optimism

Read:

- Panel A shows the Bloomberg Consumer Comfort Index difference between Republicans and Democrats.
- Republicans are much more optimistic than Democrats during Republican administrations and less optimistic during Democratic administrations.
- Panels B and C use Gallup survey responses and show similar partisan movements among business owners and nonowners.

Economic message: The figure motivates the mechanism: political regime changes sharply change partisan beliefs about economic conditions.

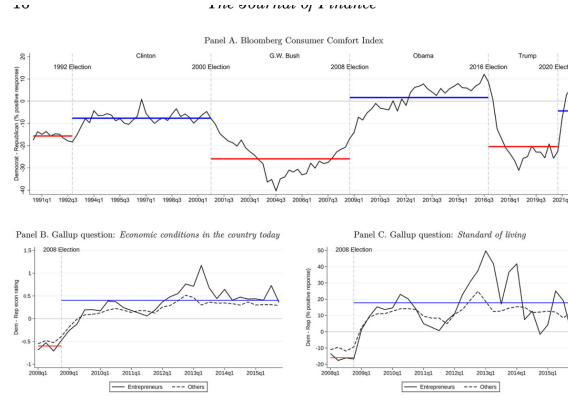


Figure 1. Optimism by party. The black line in Panel A plots the quarterly difference in the Bloomberg Consumer Comfort Index between Democrats and Republicans. Survey respondents are asked to rate (i) the national economy, (ii) their personal finances, and (iii) the buying climate as *Excellent*, *Good*, *Not so Good*, or *Poor*. The Index is calculated as the quarterly average fraction of positive responses (*Good* or *Excellent*) across the three questions. Panels B and C plot the quarterly difference in responses to the Gallup U.S. Daily Survey between Republicans and Democrats among entrepreneurs (black line) and others (dashed black line). Panel B uses respondents' average rating (*Poor*, *Only fair*, *Good*, and *Excellent*, translated into a 1 to 4 range) to the question *How would you rate economic conditions in this country today?* and Panel (C) the fraction choosing *Getting better* or *Right now, do you feel your standard of living is getting better or getting worse?* *Entrepreneurs* are self-identified business owners, while *Others* refers to all other respondents. The horizontal lines plot the average level in each period (for entrepreneurs only in Panels B and C). (Color figure can be viewed at wileyonlinelibrary.com)

In what follows, we contrast individuals of different political parties *within the same county* around presidential elections. This allows us to avoid confounding factors that may differentially affect Republican or Democratic areas. Moreover, we can control for founder characteristics associated with entrepreneurship, such as gender, age, and race.

We estimate the OLS regression:

—

5.3 Figures 2 and 3: individual-level event studies

Read:

- Figure 2 compares Democratic versus Republican individuals around the 2008 and 2016 elections.
- After Obama wins in 2008, Democrats' relative startup probability rises and Republicans' relative startup probability falls.
- After Trump wins in 2016, Republicans' relative startup probability rises and Democrats' relative startup probability falls.
- Figure 3 compares both parties to Independents, showing which side moves relative to a political middle group.
- The 2008 gap is mostly driven by lower Republican entrepreneurship; the 2016 gap is driven by both higher Republican and lower Democratic entrepreneurship.

Economic message: The event studies show sharp partisan reallocation around elections and support a causal interpretation based on regime-change timing.

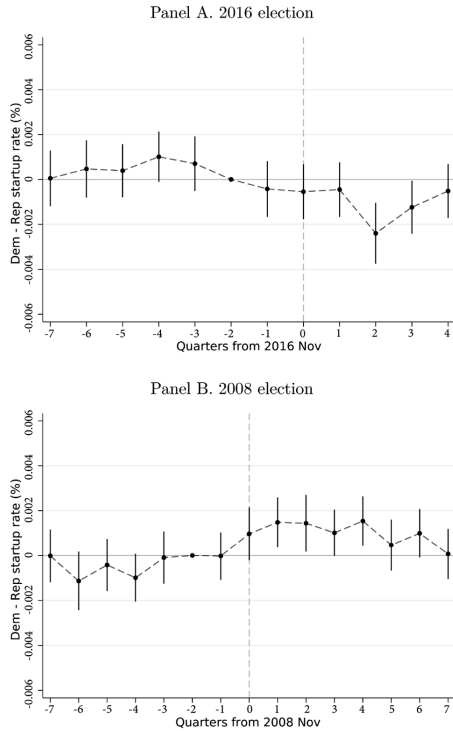


Figure 2: Democrats versus Republicans

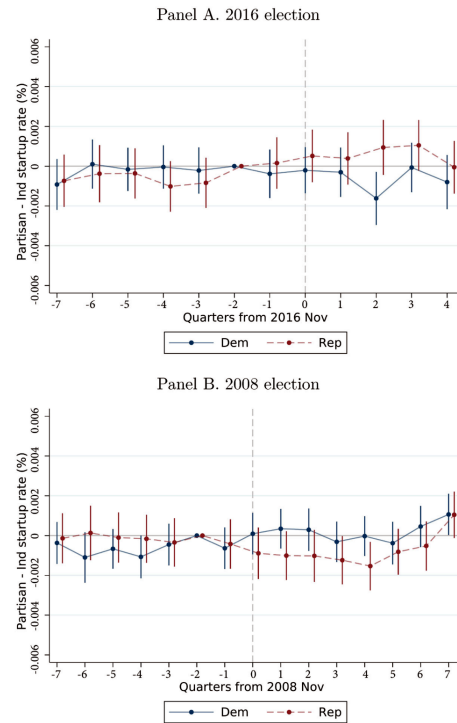


Figure 3: Democrats and Republicans versus Independents

5.4 Table III and Table IV: full-sample mismatch and heterogeneity

Read:

- Table III estimates the full-sample mismatch model using 2005–2017 data.
- Individuals mismatched with the president are about 0.017 percentage points less likely to start a firm annually, equal to about 3.3% of the mean.
- The effect is stronger among politically active voters and especially among political donors.
- Table IV shows heterogeneity by gender, age, and income.
- Men respond more strongly than women; this mirrors stronger partisan swings in expectations for men.

Economic message: Partisan mismatch matters in the full panel, and the effect is strongest exactly where politics is likely most salient.

Table IV
Political Mismatch and the Probability of Starting a Business by
Gender and by Age

This table examines how individuals' annual probability of starting a business relates to being politically mismatched with the sitting president in different subsamples. Columns (1) through (5) reestimate Table III, column (1) for men, women, voters ages 18 to 29, voters ages 30 to 49, and voters ages 50 to 70, respectively. All specifications and variable definitions mirror those in Table III, column (1). ***, **, and * indicate significant at the 1%, 5%, and 10% level, respectively.

	Male (1)	Female (2)	Age 18–29 (3)	Age 30–49 (4)	Age 50–70 (5)
Mismatch	−0.0283*** (0.0025)	−0.0049*** (0.0013)	−0.0188*** (0.0021)	−0.0221*** (0.0025)	−0.0090*** (0.0016)
Dem	−0.2737*** (0.0121)	−0.0896*** (0.0047)	−0.1085*** (0.0061)	−0.2040*** (0.0092)	−0.1523*** (0.0061)
Male			0.2475*** (0.0136)	0.5636*** (0.0272)	0.3922*** (0.0184)
Age 18–29	−0.0972*** (0.0107)	−0.0200*** (0.0045)			
Age 30–39	0.4897*** (0.0225)	0.2422*** (0.0119)		0.0126*** (0.0039)	
Age 40–49	0.4567*** (0.0203)	0.2467*** (0.0104)			
Age 50–59	0.2679*** (0.0117)	0.1597*** (0.0063)			0.1997*** (0.0081)
Asian	0.3752*** (0.0364)	0.1529*** (0.0119)	0.1351*** (0.0144)	0.3758*** (0.0299)	0.1642*** (0.0140)
Black	−0.2931*** (0.0392)	−0.0894*** (0.0124)	−0.0976*** (0.0154)	−0.2128*** (0.0275)	−0.1342*** (0.0191)
Hispanic	−0.3567*** (0.0480)	−0.1250*** (0.0164)	−0.0913*** (0.0202)	−0.2739*** (0.0339)	−0.2111*** (0.0233)
Mismatch as %mean	3.75	1.54	7.4	3.39	2.04
R ²	0.117	0.077	0.065	0.122	0.098
Outcome mean	0.756	0.32	0.254	0.653	0.444
N obs	131,246,407	195,881,588	50,051,494	125,332,715	151,743,786
N clusters (county)	2,115	2,120	2,114	2,116	2,116
County × Year FE	Y	Y	Y	Y	Y

Taken together, the larger effects we find for active voters point toward partisanship driving the time-varying gap in entrepreneurship between Republicans and Democrats.

C.2. Heterogeneity by Gender, Age, and Income

In Table IV, we begin by considering how partisan effects vary across gender because there is evidence that women's economic expectations react differently to those of men (e.g., Meeuwis et al. 2022; D'Aacunto, Malmendier, and Weber 2021). Table IV shows that the effect of political mismatch on the probability of starting a business is larger for men than for women. This is also true for the age groups 18–29 and 30–49, but not for the 50–70 age group. The effect of political mismatch is also larger for Asian, Black, and Hispanic voters than for white voters. The effect of political mismatch is also larger for voters in the 18–29 age group than for voters in the 30–49 age group, but not for the 50–70 age group. The effect of political mismatch is also larger for voters in the 30–49 age group than for voters in the 18–29 age group, but not for the 50–70 age group. The effect of political mismatch is also larger for voters in the 50–70 age group than for voters in the 18–29 age group, but not for the 30–49 age group.

5.5 Figure 4 and Table V: firm quality and legal form

Read:

- Figure 4 shows quality distributions by party and gender.
- Democrats are more likely than Republicans to start firms in the highest quality quintile, while men and women also differ in firm quality distributions.
- Table V replaces the dependent variable with indicators for starting specific types of firms.
- Corporations are much more responsive to political mismatch than LLCs.
- Top-quality startups are especially sensitive to political mismatch, with the top 5% of the quality distribution showing a large effect.

Economic message: The partisan response is economically meaningful because it affects corporations and high-quality firms, not only low-growth small businesses.

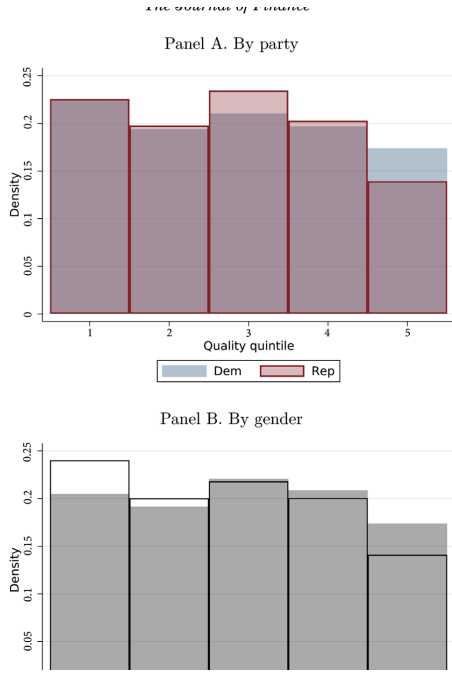


Figure 4: quality by party and gender

Table V

Political Mismatch and the Probability of Starting Different Types of Firm

This table examines how individuals' annual probability of starting different types of firms relates to being politically mismatched with the sitting president. It is identical to the specification in Table III, column (1), except that the dependent variable is an indicator for starting a specific type of firm in a year, which differs by column. Units are in percentage points. "LLC" refers to limited liability companies registered under the jurisdiction of their headquarters (or local) state. "Corporation" refers to corporations registered under local state jurisdiction. "VC backed" refers to firms that ever receive VC investment. "Patent firm" refers to firms that have ever filed for patents according to the USPTO data. "Q-xx" refers to businesses that score in a certain percentile range of entrepreneurial quality (Guzman and Stern, 2020). ***, **, and * indicate significant at the 1%, 5%, and 10% level, respectively.

	LLC (1)	Corporation (2)	VC Backed (3)	Patent Firm (4)	Q-top 5% (5)	Q-50-100% (6)	Q-60-80% (7)	Q-40-60% (8)	Q-20-40% (9)	Q-0-20% (10)
Mismatch	-0.003*	-0.014**	-0.009	-0.001	-0.01**	-0.004**	-0.003**	-0.002**	-0.001*	-0.003**
	(0.001)	(0.001)	(0.000)	(0.000)	(0.000)	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)
Dem	-0.124**	-0.042**	-0.000	-0.006**	-0.004**	-0.022**	-0.033**	-0.035**	-0.030**	-0.031**
	(0.006)	(0.003)	(0.000)	(0.001)	(0.001)	(0.002)	(0.002)	(0.002)	(0.002)	(0.003)
Male	0.308**	0.130**	0.003**	0.0026**	0.020**	0.078**	0.087**	0.093**	0.080**	0.080**
	(0.014)	(0.010)	(0.001)	(0.002)	(0.005)	(0.011)	(0.006)	(0.007)	(0.005)	(0.005)
Age 18-29	-0.014	-0.005	-0.000	-0.000	-0.000	-0.000	-0.000	-0.000	-0.000	-0.000
	(0.005)	(0.002)	(0.000)	(0.001)	(0.000)	(0.002)	(0.002)	(0.002)	(0.001)	(0.002)
Age 30-39	0.249**	0.094**	0.002**	0.007**	0.011**	0.049**	0.059**	0.066**	0.064**	0.080**
	(0.011)	(0.009)	(0.001)	(0.001)	(0.003)	(0.007)	(0.004)	(0.005)	(0.004)	(0.006)
Age 40-49	0.237**	0.097**	0.002**	0.0013**	0.013**	0.054**	0.062**	0.066**	0.062**	0.068**
	(0.010)	(0.007)	(0.000)	(0.001)	(0.003)	(0.007)	(0.004)	(0.005)	(0.004)	(0.005)
Age 50-59	0.124**	0.004	0.000	0.001	0.001	0.004	0.002	0.003	0.002	0.003
	(0.006)	(0.004)	(0.000)	(0.001)	(0.001)	(0.004)	(0.002)	(0.003)	(0.002)	(0.003)
Asian	0.124**	0.129**	0.003**	0.0024**	0.043**	0.124**	0.064**	0.038**	0.019**	0.008
	(0.018)	(0.008)	(0.002)	(0.005)	(0.008)	(0.012)	(0.012)	(0.007)	(0.004)	(0.006)
Black	-0.141**	-0.018*	-0.001**	-0.0008**	-0.003*	-0.017**	-0.017**	-0.040**	-0.032**	-0.028**
	(0.012)	(0.008)	(0.000)	(0.001)	(0.002)	(0.006)	(0.006)	(0.006)	(0.005)	(0.005)
Hispanic	-0.012	-0.008*	-0.000	-0.0015**	-0.002	-0.002	-0.002	-0.002	-0.002	-0.002
	(0.014)	(0.016)	(0.000)	(0.002)	(0.006)	(0.018)	(0.009)	(0.004)	(0.003)	(0.006)
Mismatch as %mean	0.74	10.71	15.89	4.73	4.77	6.36	3.04	2.01	1.28	2.48
Outcome mean	0.363	0.134	0	0.0015	0.014	0.069	0.052	0.057	0.034	0.055
Observations	327,127,995	327,127,995	327,127,995	327,127,995	327,127,995	327,127,995	327,127,995	327,127,995	327,127,995	327,127,995
N states (county)	4,130	4,130	4,130	4,130	4,130	4,130	4,130	4,130	4,130	4,130
County × Year FE	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y

Table V: firm types and quality

5.6 Table VI: presidential and gubernatorial mismatch

Read:

- Table VI considers mismatch with governors as well as presidents.
- Gubernatorial mismatch has an effect on entrepreneurship.
- Presidential and gubernatorial mismatch effects are additive: individuals are most likely to start firms when their party matches both the president and governor.

Economic message: The mechanism is not only national. Political control at multiple levels can affect entrepreneurial expectations and decisions.

Table VI
**Political Mismatch and the Probability of Starting a Business:
*Presidential versus Governor Mismatch***

This table examines how individuals' annual probability of starting a business relates to being politically mismatched with the sitting president (*Mismatch*) and with the sitting state governor (*Governor mismatch*). The sample consists of voters in states that had at least one change in the party of the governor (from Democratic to Republican or vice versa) from 2005 through 2017. All other variable definitions and specifications mirror those of Table III, column (1). Standard errors clustered by county. ***, **, and * indicate significant at the 1%, 5%, and 10% level, respectively.

	(1)	(2)	(3)
Mismatch	-0.0179*** (0.0017)		-0.0184*** (0.0021)
Governor mismatch		-0.0206*** (0.0036)	-0.0210*** (0.0039)
Dem	-0.1422*** (0.0097)	-0.1407*** (0.0096)	-0.1450*** (0.0097)
Male	0.3582*** (0.0281)	0.3582*** (0.0281)	0.3582*** (0.0281)
Age 18–29	-0.0328*** (0.0071)	-0.0332*** (0.0071)	-0.0332*** (0.0070)
Age 30–39	0.2822*** (0.0198)	0.2822*** (0.0198)	0.2821*** (0.0198)
Age 40–49	0.2719*** (0.0178)	0.2718*** (0.0178)	0.2718*** (0.0178)
Age 50–59	0.1654*** (0.0106)	0.1652*** (0.0106)	0.1654*** (0.0106)
Asian	0.1878*** (0.0170)	0.1876*** (0.0170)	0.1876*** (0.0170)
Black	-0.1400*** (0.0223)	-0.1394*** (0.0221)	-0.1395*** (0.0221)
Hispanic	-0.2183*** (0.0440)	-0.2184*** (0.0440)	-0.2184*** (0.0440)
Pres. mismatch as %mean	4.38	—	4.49
Gov. mismatch as %mean	—	5.04	5.13
R ²	0.110	0.110	0.110
Outcome mean	0.409	0.409	0.409
N obs	185,542,623	185,542,623	185,542,623
N clusters (county)	1,057	1,057	1,057
County × Year FE	Y	Y	Y

In sum, Table VI not only shows robustness of our main result to state-level elections, but also provides evidence of an additional dimension along which political misalignment affects entrepreneurship.

5.7 Figure 5 and Table VII: county-level evidence and real effects

Read:

- Figure 5 compares Democratic-leaning and Republican-leaning counties around the 2008 and 2016 elections.
- Democratic counties increase startup rates relative to Republican counties after Obama wins, while Republican counties increase relative startup rates after Trump wins.
- Table VII uses Census Business Dynamics Statistics to study new and existing firms.
- Mismatched counties have about five fewer new firms per 100,000 residents.
- Existing-firm establishment exits and firm deaths rise in mismatched counties.
- Net job creation falls among existing firms and all firms.

Economic message: The partisan entrepreneurship mechanism aggregates to the county level and affects both firm entry and existing-firm dynamics.

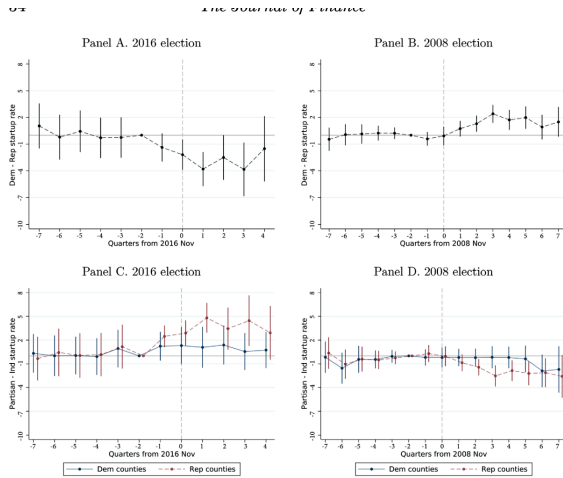


Figure 5. Political mismatch and new firms: Democratic and Republican counties. Panels A and B of this figure plot the coefficients on the interactions between the Democratic-leaning indicator and event-quarter indicators from equation (3), capturing these counties' time-varying startup rates relative to Republican-leaning counties (omitted group). Panels C and D instead use "purple" counties as the omitted group. The outcome variable is the excess startup rate: the number of excess new firm registrations per 100,000 people over 19 years old in a county. Purple counties are those reporting a victory margin of less than 10 pp in the preceding election. Event-quarter 0 covers the month of a presidential election and the two subsequent months. For example, for the 2016 election event-quarter 0 is November 2016 through January 2017. Event-quarter -2 is the omitted period. All regressions control for county fixed effects, event-quarter fixed effects, and county economic conditions (monthly unemployment rate, annual per capita income, and annual employment share by NAICS-2 industries). Regressions are weighted by county population aged 20 or above. Standard errors are clustered by county; 90% confidence intervals. Regression coefficients for Panels A and B are reported in Internet Appendix Table IA.IX columns (1) and (2). (Color figure can be viewed at wileyonlinelibrary.com)

Figure 5: county event studies

Table VII
Political Mismatch and Employer Firms: County-Level Business Dynamics

This table examines how the entry, exit, expansion, and contraction of employer firms relate to being in counties that are politically mismatched with the sitting president between 2005 and 2018. "Firm entry," "Firm exit," "Firm death," and "Firm death" are the annual number of new firms, newly opened establishments among existing firms, newly closed establishments among existing firms, and firms that have closed all their establishments, per 100,000 county residents at or above 20 years old, respectively. "Job creation rate" is the number of newly created jobs in year t as a percentage of the average employment between years t and $t-1$. "Net job creation rate" is the difference between the number of newly created jobs and the number of newly destroyed jobs in year t as a percentage of average employment between years t and $t-1$. The regression weight for other outcomes is the county population aged 20 or more. Columns (1) and (2) control for county fixed effects, year fixed effects, and county economic conditions (annual unemployment rate, annual per capita income, and annual employment share by NAICS-2 industries). Columns (3) through (7) control for county fixed effects with firm age-by-year fixed effects. Standard errors are clustered by county. ***, **, and * indicate significant at the 1%, 5%, and 10% level, respectively.

	New Firm			Existing Firm			All Firm		
	Firm Entry (1)	Job Creation Rate (2)	Exit (3)	Exit (4)	Firm Death (5)	Net Job Creation Rate (6)	Net Job Creation Rate (7)		
Mismatch	-5.460*** (0.556)	-0.003 (0.002)	-0.284*** (0.088)	0.762*** (0.172)	0.655*** (0.132)	-0.327*** (0.064)	-0.324*** (0.063)		
Unemp(%)	-2.503*** (0.341)	-0.000 (0.000)	0.051 (0.052)	1.980*** (0.169)	1.358*** (0.135)	-0.685*** (0.067)	-0.679*** (0.066)		
Income(k)	0.234 (0.397)	-0.000 (0.000)	-0.004 (0.022)	-0.042 (0.049)	0.174*** (0.033)	0.011 (0.011)	0.011 (0.011)		
Mismatch as %mean	2.86 (0.913)	0.01 (0.075)	1.02 (0.777)	1.07 (0.777)	1.38 (0.817)	30.5 (25.1)	33.88 (29.54)		
R ²	0.213	0.073	0.073	0.073	0.073	0.073	0.073		
Outcome mean	191,348	28,088	70,124	70,124	70,124	17,071	17,071		
N clusters (county)	3,059	3,059	3,059	3,059	3,059	3,059	3,059		
County FE	Y	Y	Y	Y	Y	Y	Y		
Year FE	Y	Y	Y	Y	Y	Y	Y		
Firm age × Year FE	N	N	N	N	N	N	N		
Industry share	Y	Y	Y	Y	Y	Y	Y		

Table VII: county-level BDS outcomes

5.8 Figure 6 and Tables VIII–X: expectations, policy, and local exposure

Read:

- Figure 6 studies pre-election firms in Reference USA and compares Democratic-founded versus Republican-founded firms after party-changing elections.
- Winning-party founders appear to hire more workers, but there is no clear differential change in sales per employee.
- Table VIII shows the mismatch effect survives increasingly fine geography-by-year fixed effects, including block group-by-year fixed effects.
- Table IX examines policy-sensitive industries and does not support the view that the results are driven mainly by policy targeting.
- Figure 7 shows that partisan expectation swings are stronger among men than women.
- Table X shows that mismatch effects are stronger in counties whose GDP growth is more correlated with national GDP growth.

Economic message: The evidence points toward partisan economic expectations rather than clear changes in true returns or narrowly targeted policies.

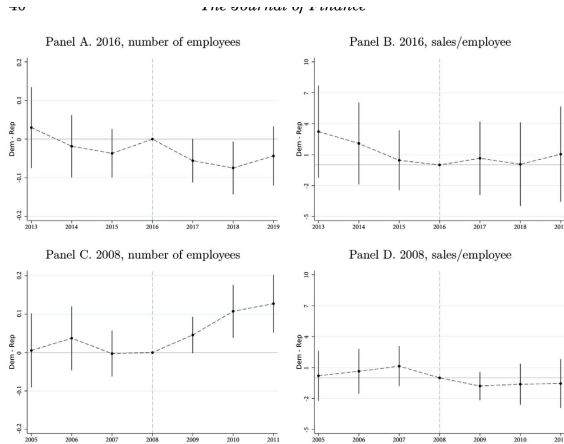


Figure 6. Political mismatch and performance of pre-election firms: Democratic versus Republican. The figure reports the estimated difference in the performance of Democratic versus Republican firms founded before the 2008 and 2016 elections, using data from Reference USA. The samples in Panels A and B (C and D) consist of firm-founder pairs such that the founder was in our main unique-name sample and the firm was incorporated in 2009 to 2012 (2001 to 2004), and the firm has nonmissing sales and employment data in Infogroup. “Number of employees” refers to the number of employees at a firm. “Sales/employee” denotes the sales (in thousands) per employee at a firm; Reference USA compiles sales data from annual reports, newspapers, and periodicals. *Dem* is equal to one for firm-founder pairs with a Democratic founder, and zero otherwise; firm-founder pairs with a Republican founder are the omitted group. The sample period is from three years before to three years after an election; the election year is the omitted period. All regressions control for county $\times$ Year, county $\times$ incorporation year, industry $\times$ Year, and industry $\times$ incorporation year fixed effects, as well as founder demographics (gender, age groups, race). Standard errors are clustered by county; 90% confidence intervals. Regression coefficients are reported in [Internet Appendix Table IA.XIII](#). (Color figure can be viewed at [wileyonlinelibrary.com](#))

Figure 6: performance of pre-election firms

Table IX
Political Mismatch and the Probability of Starting a Business: By Industry and County Political Risk

This table presents the heterogeneity in the mismatch effect in Table III, column (1), by examining individuals’ propensity to start businesses in industries with low, middle, and high levels of political risk (columns (1) to (3), respectively) and in counties whose industry employment-weighted political risk is low, middle, and high (columns (4) to (6), respectively). For example, if a county has 50% employment in industry A and 50% in industry B, then the county’s sensitivity is the equal-weighted average of the political risk of A and B. “Finance & Insurance” (NAICS 52) is excluded. All specifications and variable definitions mirror Table III, column (1). ***, **, and * indicate significant at the 1%, 5%, and 10% level, respectively.

	Industry Political Risk			County-Level Political Risk		
	Low (1)	Middle (2)	High (3)	Low (4)	Middle (5)	High (6)
Mismatch	−0.0027*** (0.0004)	−0.0021*** (0.0004)	−0.0065*** (0.0006)	−0.0060** (0.0028)	−0.0184*** (0.0025)	−0.0174*** (0.0026)
Dem	−0.0145*** (0.0009)	−0.0302*** (0.0011)	−0.0386*** (0.0018)	−0.1280*** (0.0072)	−0.1716*** (0.0104)	−0.1656*** (0.0113)
Male	0.0605*** (0.0031)	0.0557*** (0.0021)	0.1124*** (0.0047)	0.2893*** (0.0108)	0.5144*** (0.0365)	0.4020*** (0.0257)
Age 18–29	−0.0008 (0.0009)	−0.0127*** (0.0009)	−0.0045** (0.0019)	−0.0110** (0.0053)	−0.0752*** (0.0116)	−0.0263*** (0.0076)
Age 30–39	0.0537*** (0.0027)	0.0337*** (0.0013)	0.1079*** (0.0047)	0.2361*** (0.0111)	0.3915*** (0.0266)	0.3226*** (0.0221)
Age 40–49	0.0535*** (0.0023)	0.0365*** (0.0013)	0.0933*** (0.0039)	0.2147*** (0.0096)	0.3824*** (0.0225)	0.3175*** (0.0205)
Age 50–59	0.0319*** (0.0013)	0.0251*** (0.0009)	0.0544*** (0.0022)	0.1440*** (0.0061)	0.2340*** (0.0128)	0.1949*** (0.0127)
Asian	0.0534*** (0.0042)	0.0111*** (0.0024)	0.0233*** (0.0040)	0.1450*** (0.0373)	0.2407*** (0.0251)	0.2751*** (0.0330)
Black	−0.0003 (0.0028)	−0.0293*** (0.0024)	−0.0383*** (0.0051)	−0.1724*** (0.0192)	−0.2108*** (0.0471)	−0.1233*** (0.0200)
Hispanic	−0.0164*** (0.0046)	−0.0364*** (0.0023)	−0.0464*** (0.0064)	−0.2458*** (0.0164)	−0.2384*** (0.0445)	−0.1811*** (0.0210)
Mismatch as %mean	3.74	3.34	5.1	1.7	3.14	3.88
R ²	0.016	0.016	0.034	0.035	0.129	0.112
Outcome mean	0.072	0.063	0.127	0.355	0.587	0.448
N obs	327,127,995	327,127,995	327,127,995	39,370,497	135,693,120	152,064,378
N clusters (county)	2,120	2,120	2,120	700	699	721
County $\times$ Year FE	Y	Y	Y	Y	Y	Y

statistically significant. Additionally, in [Internet Appendix Table IA.XII](#), we show estimates for the 12 most populated industries in the sample. We observe effects for mismatched entrepreneurs across almost all industries including retail, the industry with the lowest policy sensitivity according to Hassan et al. (2019). The robustness of our result across industries is also consistent with the fact that our *Mismatch* estimates are quantitatively similar when we include census block group $\times$ year fixed effects (in Table VIII). The latter can be seen as capturing some of the variation in industry $\times$ year fixed effects,

Table IX: policy-sensitivity heterogeneity

Table VIII
Political Mismatch and the Probability of Starting a Business: Alternative Geographic Fixed Effects

This table presents robustness checks for Table III, column (1), under various geography-by-year fixed effects. Specifications mirror Table III, column (1), except that each column now includes a different set of geography-by-year fixed effects. Columns (1) through (5) include state-by-year, county-by-year, zip code-by-year, census tract-by-year, and census block group-by-year fixed effects, respectively. Standard errors are clustered by county. ***, **, and * indicate significant at the 1%, 5%, and 10% level, respectively.

	Level of Geography Fixed Effects				
	State (1)	County (2)	Zip (3)	Tract (4)	Block Grp (5)
Mismatch	−0.0182*** (0.0017)	−0.0165*** (0.0017)	−0.0157*** (0.0015)	−0.0153*** (0.0014)	−0.0153*** (0.0014)
Mismatch as %mean	3.68	3.33	3.17	3.09	3.09
R ²	0.004	0.005	0.006	0.009	0.013
Outcome mean	0.495	0.495	0.495	0.495	0.495
N obs	327,127,995	327,127,995	327,127,995	327,127,995	327,127,995
N clusters (county)	2,120	2,120	2,120	2,120	2,120
Demographics	Y	Y	Y	Y	Y
Geo $\times$ Year FE	Y	Y	Y	Y	Y

block group at the same time. If policy is targeted to geography, we would expect our main result to disappear as we include these fixed effects. However, we find little evidence that this is the case. In Table VIII, we progressively include finer geography-by-year fixed effects, from state level (column (1)) to census block group level (column (5)).⁴⁵ The point estimates under these alternative geography $\times$ year fixed effects are all similar to the estimates under the main specification shown in column (2). [Internet Appendix Table IA.XI](#) repeats the exercise for politically active and donor voters, with similar results. Moreover, to the extent that policies are different by income group (e.g., tax policies), geography-by-year fixed effects for zip, census tract, or block group would also absorb such targeting.

Turning to industry, we use the classification approach introduced in Section III.A, and group industries into terciles of policy sensitivity following Hassan et al. (2019). We then reestimate equation (2) but change the dependent variable to be an indicator for whether an individual starts a firm in an industry in a certain tercile of policy sensitivity. In Table IX, columns (1) to (3) show that the political mismatch effect is generally higher for firms in industries

Table VIII: geography-by-year fixed effects

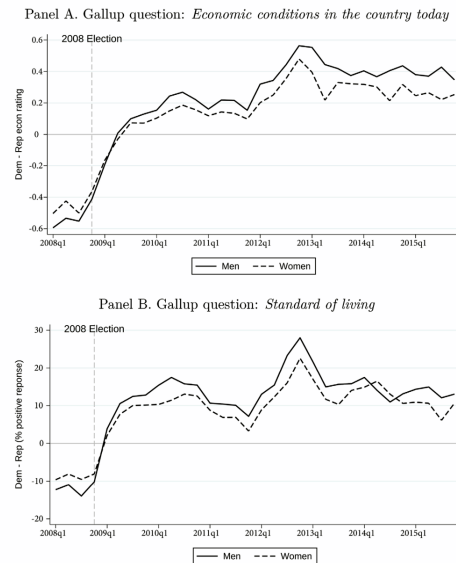


Figure 7. Optimism by party and gender. This figure plots the quarterly difference in responses to the Gallup U.S. Daily Survey between Republicans and Democrats among men (black line) and women (black dashed line). Panel A uses respondents’ average rating (*Poor, Only fair, Good, and Excellent*, translated into a 1 to 4 range) to the question *How would you rate economic conditions in this country today?*, and Panel B the fraction of respondents choosing *Getting better* to the question *Right now, do you feel your standard of living is getting better or getting worse?* (Color figure can be viewed at [wileyonlinelibrary.com](#))

Figure 7: optimism by gender

Table X
Political Mismatch and the Probability of Starting a Business: By Counties' Correlation with the National Economy

This table explores heterogeneity in the mismatch effect in Table III, column (1), by restricting the sample to counties in each quartile of the correlation between counties' GDP growth and national GDP growth between 2001 and 2017 (quartile cutoffs are 0.21, 0.70, and 0.88). Note that counties with a higher correlation are larger, so the number of observations increases from column (1) to (4) despite a roughly equal number of counties in each column. All specifications and variable definitions mirror Table III, column (1). ***, **, and * indicate significant at the 1%, 5%, and 10% level, respectively.

	Quartile of County Correlation With U.S. GDP Growth			
	First (1)	Second (2)	Third (3)	Fourth (4)
Mismatch	-0.0060** (0.0030)	-0.0124*** (0.0033)	-0.0145*** (0.0036)	-0.0206*** (0.0025)
Dem	-0.1405*** (0.0130)	-0.1651*** (0.0149)	-0.1327*** (0.0113)	-0.1841*** (0.0109)
Male	0.3034*** (0.0182)	0.3559*** (0.0228)	0.3632*** (0.0330)	0.5280*** (0.0346)
Age 18–29	-0.0188*** (0.0066)	-0.0485*** (0.0086)	-0.0376*** (0.0127)	-0.0545*** (0.0105)
Age 30–39	0.2618*** (0.0176)	0.2956*** (0.0232)	0.2853*** (0.0252)	0.4019*** (0.0267)
Age 40–49	0.2347*** (0.0144)	0.2776*** (0.0191)	0.2854*** (0.0252)	0.3951*** (0.0229)
Age 50–59	0.1518*** (0.0089)	0.1696*** (0.0100)	0.1781*** (0.0162)	0.2420*** (0.0134)
Asian	0.1559*** (0.0224)	0.1666*** (0.0332)	0.2730*** (0.0533)	0.2727*** (0.0264)
Black	-0.2270*** (0.0386)	-0.1752*** (0.0400)	-0.1006*** (0.0229)	-0.1739*** (0.0378)
Hispanic	-0.2059*** (0.0210)	-0.1962*** (0.0193)	-0.2169*** (0.0192)	-0.2228*** (0.0433)
Mismatch as % mean	1.56	2.76	3.34	3.65
R^2	0.039	0.065	0.097	0.159
Outcome mean	.383	.449	.435	.565
N obs	35,914,427	51,788,941	80,490,173	158,934,454
N clusters (county)	566	517	519	518
County $\times$ Year FE	Y	Y	Y	Y

Thus, if economic expectations drive partisan entrepreneurship, we would expect the localities whose economic growth is most connected to the national

6 Short summary

- Republicans start more firms than Democrats in the raw data and after controls.
- Party-changing presidential elections produce sharp changes in relative entrepreneurial activity.
- The 2008 Obama election lowers Republican relative entrepreneurship; the 2016 Trump election raises it.
- Across the full sample, politically mismatched individuals are less likely to start firms.
- The effect is larger among politically active people, especially donors.
- Corporations and high-quality startups respond more strongly than LLCs and lower-quality firms.
- Governor mismatch also matters, and mismatch at both presidential and gubernatorial levels has the largest effect.
- County-level analyses confirm the mechanism without requiring individual founder-voter matching.
- Mismatched counties experience lower firm entry and weaker existing-firm job creation.
- Performance evidence does not show clear productivity gains for winning-party firms, suggesting that beliefs rather than true returns drive behavior.
- Survey evidence shows partisan economic expectations move in the same direction as entrepreneurship.
- The broad conclusion is that political identity reallocates entrepreneurial investment over time and across places.

7 Conclusion

7.1 Core conclusion

Engelberg, Guzman, Lu, and Mullins show that entrepreneurship responds to political identity. Republicans are more likely than Democrats to start firms, and this gap expands or contracts depending on which party controls the presidency. Political mismatch reduces the likelihood of starting a business, especially among politically active individuals.

7.2 Economic intuition

Starting a firm is a forward-looking investment. If people become more optimistic when their party is in power, they may perceive better demand, policy, financing, or fallback labor-market conditions. These beliefs can lead matched partisans to start more firms and expand existing businesses, even when objective returns do not clearly change.

7.3 Takeaway

The paper shows that politics can affect real economic activity through entrepreneurial expectations. Elections do not merely change policy; they also shift beliefs. These belief shifts reallocate firm creation and firm expansion across Democrats, Republicans, and the places where they live.